



Can Fin Homes has reported its Q3FY22 performance which was below our estimates on the profitability front due to higher provision (credit cost at 0.3% vs -0.1% QoQ) and steep rise in operating expense (up by 17% YoY/18% QoQ). However, asset quality saw stark improvement, with GNPA down by 7 bps QoQ at 0.71% and NNPA down by 8 bps QoQ at 0.39%, indicating no meaningful impact of new asset classification.

- **NII came in at Rs 2.06 Bn**, vs 7.4% QoQ /-2.1% YoY
- **Net Income came in at Rs 2.12 Bn**, vs +7.8% QoQ /-0.6% YoY
- **PPOP came in at Rs 1.72 Bn**, +5.6% QoQ/-4% YoY
- **Provisions came in at Rs 164Mn**, vs Rs -62Mn QoQ/ Rs 16 Mn YoY.
- **PAT came in at Rs 1.16 Bn**, -6.4% QoQ /-12.3% YoY
- **EPS stood at Rs 8.7 vs INR 9.3/INR 9.9 in Q2FY22 / Q3FY21 respectively.**

Financial Highlights

- Can Fin saw loan growth picked up pace to 6.4% QoQ/ 19.5% YoY at Rs 250.91 Bn, supported by 124% YoY growth in disbursements to INR 24.72 Bn (12% QoQ), while sanctions grew by 120% YoY at Rs 27.62 Bn (up 21% QoQ). We believe there is a good chance loan growth can surprise on the upside, especially in 23E, on multiple tailwinds such as better affordability, strong economic recovery and government incentives for home buyers.
- During the quarter, NIMs expanded by 21 bps QoQ to 3.74%, driven by higher yield on advances, lower cost of funds and strong business momentum. It also benefited from LCR investment income by 9 bps. Can Fin has increased its rate twice in the last 9 months, leading to a rise in the yield on advances from 7.99% in Q2FY22 to 8.05% in Q3FY22. Incremental cost of funds stood at 4.98% vs portfolio cost stood at 5.56%. The company expects the cost of funds to go up by 100-125 in the next four to six quarters and budgeted the same.
- With the help of SARFAESI and other recovery proceedings, the company is able to crake Rs 170 Mn from NPA pool, leading to a reduction in gross NPA from 0.78% in Q2FY22 to 0.71%. Restructuring pool drop by Rs 200 Mn to Rs 6.90 Bn (2.75% of advances) as of 31st December 2021. Higher Credit cost during the quarter was due to standard provisions on loans disbursed in Q3FY22 and provisions related to ageing of NPA loans.

Financial Summary

Y/E Mar (Rs Mn)	FY20	FY21	FY22E	FY23E
NII	6747	7980	7520	9367
Adj net profit	3744	4561	4591	5687
Networth	21501	26098	30268	35533
EPS (Rs)	28	34	34	43
P/E (x)	23.4	19.2	19.1	15.4
P/Adj BV (x)	4.3	3.5	3.1	2.6
RoA (%)	1.9	2.1	1.9	2.0
RoE (%)	19.0	19.2	16.3	17.3

Source: Dalal & Broacha Research, Company

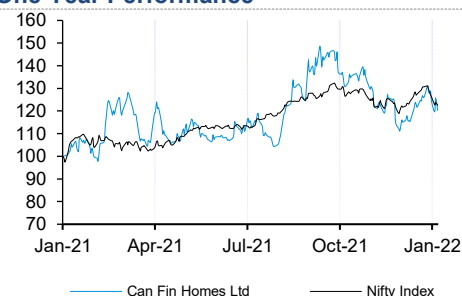
Rating	TP (Rs)	Up/Dn (%)
BUY	765	33

Market data

Current price	Rs	576
Market Cap (Rs.Bn)	(Rs Bn)	77
Market Cap (US\$ Mn)	(US\$ Mn)	1,026
Face Value	Rs	2
52 Weeks High/Low	Rs	722 / 455.25
Average Daily Volume	('000)	900
BSE Code		511196
Bloomberg		CANF.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	29.99	29.99
Public	70.01	70.01
Total	100	100

Source: BSE

Avinash Tanawade

(022) 67141449

avinash.tanawade@dalal-broacha.com

- The company is now focusing on customers with higher salary bracket, which leads to an increase in average ticket size to INR 21 lacs from INR 18 lacs. The company's average ticket size on incremental disbursements is Rs 23.5 lakh.
- The large part of loan growth come from the salaried segment, which grew by 23.3% YoY/ 6.7% QoQ, while loans to the self-employed segment up by 9.6% YoY / 5.6% QoQ. With the pickup in business operations, self-employed segment in the incremental disbursements should improve to 30% from current 26% (Q3FY22) in the next few quarters. Meanwhile, the company is looking to double its proportion of LAP portfolio from the current 5% to 10% in the next three years, without compromising on risk or quality.
- Cost to income ratio for the company increased by 82 bps QoQ to 19%, backed by lower net income (NII + other inc) growth of 7.8% QoQ vs lower opex growth of 17.9% QoQ. The YoY increase in opex is driven by 11.2% YoY (13.6% QoQ) increase in employee expenses and 24.6% YoY (23.1% QoQ) increase in other operating expenses. Opex growth was faster due to higher AS-15 provisions towards employees (Rs 50 Mn) and greater business volume.

The company's current ATS is Rs ~21 lakh & incremental ticket size is Rs 23.5 lakh

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Highlights of the Conference Call

- BT-out has normalized despite upward repricing, reflecting improving customer retention. BT out for Q3FY22 was ~Rs 780 Mn, v/s INR2.78b in 3QFY21.
- On incremental basis, disbursement in Telangana is ~Rs 1.50 Bn per month, Karnataka ~Rs 2.10-2.15 Bn per month, Tamil Nadu ~Rs 1.10-1.15 Bn per month, and AP is ~Rs 0.70 Bn per month.
- Out of the total portfolio, 75% is self-construction and 25% apartment.
- Approval rate stood at ~88% in Q3FY22, which was ~84-85% during Covid period.
- The average income of the customer base is ~ Rs 38,000 to Rs 40,000 per month
- The rates of interest offered by the company to its customers are 100-150 bps higher than large banks.
- Bank has raised Rs 2.75 Bn through NCDs at 6.1% for 39 months, while Rs 4.75 Bn worth NCDs will be raised in the next two to three months
- Stage 2 (SMA 2) stood at Rs 427 Cr; provision as per IRAC norms is ~Rs 69 Cr, while as per ECL model is ~ Rs 45 Cr.

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Valuation and outlook

We remain positive on the stock given its sovereign backing, comfortable liquidity position and robust CAR (24%). We believe Can Fin Homes will continue to quote at premium valuations as its loan book quality of 90% retail housing with negligible exposure to developer finance remains best-in-class and its competitive cost of funds is on par with some banks and it is well ahead of many HFC peers. At CMP the stock trades at 2.7x its FY22E ABV and 2.3x its FY23E ABV. **We maintain BUY rating with a Price Target of Rs 765/share, valuing the stock at a target multiple of 3x FY23E ABV**

Quarterly Financial

DESCRIPTION	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
Interest Earned	500	461	449	463	502	0.5	8.5
Interest Expended	289	275	268	271	296	2.4	9.3
NII	210	186	181	192	206	-2.1	7.4
Other Income	3	7	2	5	6	105.4	21.9
Net Income	214	193	183	197	212	-0.6	7.8
Operating Expenses	34	43	30	34	40	17.1	17.9
PPOP	179	150	153	163	172	-4.0	5.6
Provisions	2	8	7	-6	16	906.0	-363.6
PBT	177	142	146	169	156	-12.3	-7.9
Tax	46	39	37	45	40	-12.3	-12.0
PAT	132	103	109	124	116	-12.3	-6.4
BALANCE SHEET							
Advances	21004	22105	22221	23585	25091	19	6
Disbursements	1106	2001	894	2208	2472	124	12
IMPORTANT RATIOS							
GNPA (%)	0.68	0.91	0.90	0.78	0.71	3 bps	-7 bps
NNPA (%)	0.41	0.61	0.57	0.47	0.39	-2 bps	-8 bps
PCR (%)	39.2	33.5	36.8	40.4	45.2	604 bps	484 bps
NIM (%)	3.97	3.88	3.31	3.40	3.74	-23 bps	34 bps
C/I Ratio	16.1	22.3	16.5	17.4	19.0	287 bps	163 bps
Tier I Ratio	22.4	23.8	24.3	23.5	23.2	81 bps	-25 bps
Loan Mix							
Salaried	72	73	73	74	74	234 bps	19 bps
SENP	28	27	27	26	26	-232 bps	-19 bps

Source: the company

Financials

P&L (Rs Mn)	FY20	FY21	FY22	FY23
Interest income	20.19	20.06	20.27	25.38
Interest expense	13.44	12.08	12.59	15.75
NII	6.75	7.98	7.68	9.63
Non-interest income	0.12	0.12	0.16	0.20
Net revenues	6.86	8.10	7.85	9.83
Operating expenses	1.08	1.24	1.35	1.57
PPOP	5.79	6.86	6.50	8.26
Provisions	0.60	0.69	0.29	0.42
PBT	5.18	6.18	6.21	7.84
Tax	1.44	1.62	1.57	1.98
PAT	3.74	4.56	4.65	5.87
Balance sheet	FY20	FY21	FY22	FY23
Share capital	0.3	0.3	0.3	0.3
Reserves & surplus	21	26	30	36
Net worth	22	26	30	36
Borrowings	187	193	232	281
Other liability	1.5	1.7	1.8	1.9
Total liabilities	210	221	264	318
Fixed assets	0.4	0.5	0.5	0.5
Investments	0.2	0.5	0.3	0.2
Loans	205	219	261	316
Cash	3.9	0.2	1.3	1.4
Other assets	0.6	0.7	0.7	0.8
Total assets	210	221	264	318

Source: Dalal & Broacha Research, Company

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	27	18	-4	25
PPOP	23	19	-5	27
PAT	26	22	2	26
Advances	13	7	19	21
Spread (%)				
Yield on Funds	10.4	9.4	8.4	8.8
Cost of Funds	7.6	6.4	5.9	6.1
Spread	2.8	3.1	2.5	2.6
NIM	3.4	3.7	3.2	3.3
Asset quality (%)				
Gross NPAs	0.8	0.9	0.9	0.8
Net NPAs	0.5	0.6	0.6	0.6
Provisions	29	34	33	31
Return ratios (%)				
RoE	19.0	19.2	16.5	17.8
RoA	1.9	2.1	1.9	2.0
Per share (Rs)				
EPS	28	34	35	44
BV	161	196	228	269
ABV	153	186	216	255
Valuation (x)				
P/E	20	17	17	13
P/BV	3.6	2.9	2.5	2.1
P/ABV	3.8	3.1	2.7	2.3

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Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Retail FMCG Logistics
Mrs.Charulata Gaidhani	Sr.Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Analyst	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Analyst	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com